THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
ARUSHA REGION TERMINAL EXAMINATION MAY 2021
FORM THREE COMMERCE
MARKING SCHEME

SECTION A MULTIPLE CHOICE (20 MARKS)

1

I	II	III	IV	V	VI	VII	VIII	IX	X	XI	XII	XIII	XIV	XV
C	A	B	C	D	C	B	A	D	B	B	A	A	C	B

1 Mark @ Item = 15

2 MATCHING ITEMS

COLUMN A	I	II	III	IV	V
COLUMN B	E	F	G	C	D

1 mark @ Item = 05

SECTION B (50 MARKS)

3 a) Formal communication refers to the communication flow of official information through proper, pre-defined channels and routes. It flows the hierachical structure and chain of command. Example from leaders to various departments while

b) Informal communication refers to communication which flow freely within the organisation without any pre-defined route or channel; normally is the communication between workers.

3 b) Oral communication is the process of transfering information from one person to another through words of mouth. It include one to one conversation and meetings.

while

written communication is the process of transfering information through written documents like letters, faxes, reports, diagrams, charts and graphs.

c) Internal communication; refers to the communication that takes place within the organisation. It involves passing and receiving information within the organisation. for example circulars, reports, letters and face to face.

while

External communication refers to the communication between an organisation or company with it's customers and the general public or suppliers.

d) Telex - is a method of sending information using the teleprinter in which the method to be sent is typed into the teleprinter and the message appear automatically on the receiving end

while

Telegram is a message sent by a telegraph, where the information sent reach to the destiny immediately after been sent.

e) Audio Media, is the media which carry sound/voice message to the listener, the receiver acquired information through hearing. Example of audio media is a radio, voice note etc.

while

Audio visual media. is a media which combine sound and picture in transfering of information. Example of Audio-visual media is Television.

4 a) Five characteristics of current account

i) Minimum initial deposit is required at the time of opening an account

ii) No minimum balance is required to be maintained by an account holder

iii) Withdrawal are made using a cheque only

iv) No interest is paid in the account

v) Account Holder are allowed to overdraw their account (overdrafit)

vi) Bank customers are issued with bank statement at the end of each month.

vii) Deposit and withdraw can be made at any time.

Five points @ 1 mark = 05

b) Qualities of good money;

i) General acceptability, a good money should be generally accepted by the society to be used as a medium of exchange.

ii) Durability; a good money should last for a long period since it is used frequently.

iii) Divisibility; it should be easily divisible into small units that can be used in small transactions

iv) Scarcity; a good money should be scarce and difficult to get so as to maintain its value.

v) Portability; A good money should be simple to carry or handle eg paper money is easy to carry.

vi) Difficult to counterfeit; good money should be difficult to make a fake copy, unique should be used to make a coin

Five points @ 1 mark = 05

5 Data

Opening inventory 280,000
Closing inventory ... 200,000
Rate of stock turnover 9 times
Net sales 3,000,000
Expenses ..... 15% of gross profit
Rent income ..... 10,000 ..... (2 marks)

Solution

i) Cost of sales

From,
Rate of stock turnover = Cost of sales / Average stock
then;
Cost of sales = Average ~~stock~~ Inventory x Rate of stock turnover
But;
Average stock = opening inventory + closing inventory / 2
= 280,000 + 200,000 / 2
= 240,000

Therefore,
Cost of sales = 240,000 x 9 = 2,160,000 ... (1.6 marks)

ii) Net Purchases,

From,
Cost of Sales = opening inventory + Net Purchases - closing inventory
Net Purchases = Cost of sales + Closing inventory - opening inventory
= 2,160,000 + 200,000 - 280,000
= 2,080,000 ..... (1.6 Marks)

iii) Average inventory = opening inventory + closing inventory / 2
= 280,000 + 200000 / 2
= 240,000 ..... (1.6 Marks)

iv) Gross Profit = Net sales - Cost of sales
3000,000 - 2160 000 = 840,000 ... (1.6 marks)

v) Net Profit = (Gross Profit + Rent income) - Expenses
= (840,000 + 10,000) - (840,000 x 15%)
= 850,000 - 126,000 = 724,000 ..... (1.6 Marks)

6 Function of marketing in business

i) Matching products to customers
Customers are supplied with the required products

ii) Setting prices;
Marketing help in setting a relevant prices for the product ie. not too high or too low.

iii) Help in marketresearch;
This is about gathering information concerning the customers toward the product

iv) Finance an enterprice

v) To find the best distribution channel

vi) Product and customer management;
Means taking care the product and also listening to the customer.

Five points @ 2 marks = 10

7a) Functions of packing and packaging

i) To protect the goods from damage

ii) To protect the quality of goods by puting it into a good container.

iii) To prevent goods from evaporation, product like gas, spirits, are volutile in nature, therefore they are packed to avoid evaporation.

iv) To protect goods against leakage, for liquid article like oil.

v) To protect good against spoilage, product like sugar, tea, are likely to be spoiled if are not well packed.

vi) To protect goods against ~~poilage~~ pilferage, this refers to the protection of goods from being stolen.

vii) To facilitate branding and advertising

viii) useful in displaying goods

Five points @ 1 = 05%

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7(b) Factor to consider in selecting Advertising media

i) Nature of the product or services
For example a new product needs detailed explanation therefore a television is useful.

ii) The cost of the medium;
More expensive commodity can be advertised through Television, Radio or newspaper.

iii) Geographical area covered

iv) Speed and urgency

v) The targeted population

vi) Flexibility of the media

Five points @1 = 05

SECTION C (30 MARKS)

8 Roles of commercial banks

- Commercial banks are financial institutions that raise capital from the public through selling shares and they offer variet banking services. Example of commercial banks in Tanzania include - National Bank of Commerce (NBC), National Microfinance Bank (NMB), Co-operative and rural Development Bank (CRDB), Equity Bank. Commercial bank perform other roles apart from accepting and safeguarding deposit as follow

i) They affect payment on behalf of their customers for example the use of standing order.

ii) They extend credit facilities to customers such Bank overdrafts, loans to boost their financial capacity.

iii) They provide financial advice, through commercial banks customers are advised on different financial matters.

Cont. 8 iv) To provide employment opportunities, people are employed in different commercial banks as bank tellers or accountants.

v) They act as trustees by keeping valuable items such as Gold, diamond, Tanzanite etc.

vi) They provide eduction to the public on banking activities.

vii) They act as referees on creditworthiness of their customers.

Six points @ 2 = 12 marks
Introduction 2 marks
Conclusion 1 mark
Total ... 15 marks

9 a) Barrier to communication refers to an obstacle that may distort, destroy or hinder the message from being delivered to recipient or preventing feedback from reaching the sender (1.5 marks)

b) A student should be able to elaborate with examples any five of the following barriers to effective communication.

i) Noise
ii) Language
iii) Time of sending a message
iv) Illiteracy
v) Lack of concentration
vi) Emotional mood
vi) Channel of communication used

(5 well elaborated points @ 2.5 marks)
(1 mark for conclusion)
Total of 15 marks.

10 - Wholesaler is the trader who buy goods in large quantity from the manufacturers and sell them to retailer in large quantity. The wholesaler create a link between a producer and the final consumers. In this case, the wholesaler plays a contribution much in setting the prices of commodities which normally affect the final consumers. Ways that can be used to eliminate the middlemen or wholesaler in the channel of distribution, include the following:

i) Large scale retailing;
The presence of large scale retailers in the economy who buy direct from producer and reduces the number of wholesalers

ii) Production on a small scale, where production is in small scale there is no need of having a number of wholesalers.

iii) Sale of expensive goods;
Expensive goods are sold direct to the consumers in order to avoid further increase in price.

iv) Sales of perishable goods;
The sales of perishable goods and fragile goods and those that are urgently needed does not need to pass through the middlemen.

v) Sale of contract;
in institutions where agreements have to be designed as part of transaction, the customer deals directly with the producer.

vi) Sale through mail order;
Goods are sent directly to the buyer, therefore there is no need of having the wholesaler in the channel of distribution.

Introduction 2 marks
Main body 2 marks @ for 6 points = 12
Conclusion 1 marks
(Total 15 marks)